



THEMIS

PROFESSIONAL SERVICES
FRACTIONAL CFO & NON-EXECUTIVE ADVISORY

SUCCESSION IN A FAMILY BUSINESS

The hardest questions are rarely the financial ones — but they all arrive in the numbers eventually, and usually late.

THE SEQUENCE — AND THE ORDER MATTERS

01 GOVERNANCE FIRST

- **A board that actually meets.** A date, a pack, a decision, minutes. The kitchen table is not governance.
- **Separate the three tables.** Family, board and management — same people, different hats, different meetings.
- **A family charter.** How decisions get made, how disputes get settled, how a family member joins the business.
- **One voice from outside the family.** Someone at the table with no inheritance at stake.
- **Dividend policy written down** before the year it becomes contentious.

WHY IT COMES FIRST

Governance is the only one of the three you can build while everyone still agrees. It is what carries the family through the point where they don't.

02 ROLES SECOND

- **Real jobs with real accountabilities** — applied to family and non-family alike.
- **Market rate for the role performed**, not for the surname.
- **An honest answer on whether they want it.** Asked properly, asked privately, and believed.
- **Experience earned outside** before a senior seat inside.
- **A route for capable non-family managers** — or you lose them at precisely the wrong moment.
- **The founder's role defined by a date**, not by feel.

WHY IT COMES SECOND

Most succession failures are not about who owns the shares. They are about someone holding a job they could not do, or never wanted.

03 OWNERSHIP THIRD

- **A structure that separates economic value from control** where those two things need to sit apart.
- **A shareholders' agreement.** Pre-emption, valuation method, deadlock, and a way out for a family member who wants one.
- **Wills, trusts and reliefs reviewed together**, not by three advisers separately — and kept current as the rules move.
- **A valuation everyone has seen**, on a method everyone has agreed, before anyone needs it.
- **Fairness for those not in the business** — settled deliberately, not left to a will.
- **Test it against a death, a divorce and a falling-out**, not just a retirement.

WHY IT COMES LAST

Ownership decisions are slow to reverse and expensive to get wrong. Take them once governance and roles are settled, and they get far easier.

STAYING INVOLVED AFTER THE HANDOVER

WHERE IT WORKS

DEFINED, VISIBLE, TIME-BOUND

- A defined role with a defined end date, in writing, seen by the management team
- Chairman or non-executive — contributing at the board, not shadowing the MD
- Customer, supplier and technical relationships handed over deliberately, one by one
- Any earn-out tied to things the seat you hold can still influence
- A successor you back in public, including when you disagree in private

WHERE IT GOES WRONG

THE FAILURE MODES WE SEE MOST

- "I'll stay involved" — with no shared definition of involved
- Staff who keep walking past the new MD's office to reach yours
- An earn-out resting on decisions somebody else now makes
- A retained minority stake with no mechanism to realise it
- No answer to what you do on the Monday after

The question is not whether you stay involved.

It is whether everyone can describe what involved means — in one sentence, and the same sentence.

**GOVERNANCE, THEN ROLES, THEN OWNERSHIP.
ANY OTHER ORDER COSTS MORE.**

RICHARD COOKE

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